

KELANI CABLES PLC

Company Reg. No. PQ 117



INTERIM FINANCIAL STATEMENTS
FOR THE 06 MONTHS PERIOD ENDED SEPTEMBER 30, 2022

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the quarter ended 30 September	COMPANY AND INVESTEE		COMPANY	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Revenue	2,517,922,570	3,968,563,544	2,517,922,570	3,968,563,544
Cost of sales	(1,599,356,813)	(3,235,772,424)	(1,599,356,813)	(3,235,772,424)
Gross profit	918,565,757	732,791,120	918,565,757	732,791,120
Other income	14,522,040	9,210,401	14,522,040	9,210,401
Distribution expenses	(130,697,628)	(120,996,768)	(130,697,628)	(120,996,768)
Administrative expenses	(114,574,072)	(98,392,586)	(114,574,072)	(98,392,586)
Profit from operations	687,816,097	522,612,167	687,816,097	522,612,167
Finance income	99,878,941	13,306,496	99,878,941	13,306,496
Finance expenses	(11,603,539)	(95,121,234)	(11,603,539)	(95,121,234)
Net finance income / (expenses)	88,275,402	(81,814,738)	88,275,402	(81,814,738)
Share of (loss)/profit on equity accounted investee, net of tax	(625,824)	(625,293)	-	-
Profit before tax	775,465,675	440,172,136	776,091,499	440,797,429
Income tax expense	(139,696,470)	(79,337,399)	(139,696,470)	(79,337,399)
Profit for the quarter	635,769,205	360,834,737	636,395,029	361,460,030
Other comprehensive income				
Items that will not be reclassified to profit or loss	-	-	-	-
Other comprehensive income , net of tax	-	-	-	-
Total comprehensive income for the quarter	635,769,205	360,834,737	636,395,029	361,460,030
Earnings per share -Rs.	29.16	16.55	29.19	16.58
Market value per share				
Highest price-Rs.			458.00	151.75
Lowest price-Rs.			160.00	123.25
Last traded price-Rs.			434.50	130.00
Number of shares representing the stated capital			21,800,000	21,800,000

STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

For the period ended 30 September	COMPANY AND INVESTEE		COMPANY	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Revenue	6,038,487,270	6,660,055,358	6,038,487,270	6,660,055,358
Cost of sales	(4,046,712,486)	(5,559,108,214)	(4,046,712,486)	(5,559,108,214)
Gross profit	1,991,774,784	1,100,947,144	1,991,774,784	1,100,947,144
Other income	19,127,777	11,159,731	19,127,777	11,159,731
Distribution expenses	(282,889,066)	(228,769,450)	(282,889,066)	(228,769,450)
Administrative expenses	(197,134,627)	(199,039,192)	(197,134,627)	(199,039,192)
Profit from operations	1,530,878,868	684,298,233	1,530,878,868	684,298,233
Finance income	536,121,131	24,227,298	536,121,131	24,227,298
Finance expenses	(19,071,096)	(115,891,733)	(19,071,096)	(115,891,733)
Net finance income / (expenses)	517,050,035	(91,664,435)	517,050,035	(91,664,435)
Share of loss on equity accounted investee, net of tax	(1,199,891)	(1,219,950)	-	-
Profit before tax	2,046,729,012	591,413,848	2,047,928,903	592,633,798
Income tax expense	(368,627,203)	(106,668,798)	(368,627,203)	(106,668,798)
Profit for the period	1,678,101,809	484,745,050	1,679,301,700	485,965,000
Other comprehensive income				
Items that will not be reclassified to profit or loss	-	-	-	-
Other comprehensive income, net of tax	-	-	-	-
Total comprehensive income for the period	1,678,101,809	484,745,050	1,679,301,700	485,965,000
Earnings per share -Rs.	76.98	22.24	77.03	22.29
Market value per share				
Highest price-Rs.			458.00	159.25
Lowest price-Rs.			98.10	110.25
Last traded price-Rs.			434.50	130.00
Number of shares representing the stated capital			21,800,000	21,800,000

STATEMENT OF FINANCIAL POSITION

	COMPANY & INVESTEE		COMPANY	
	As at 30 September 2022	As at 31 March 2022	As at 30 September 2022	As at 31 March 2022
	Rs.	Rs.	Rs.	Rs.
ASSETS				
NON CURRENT ASSETS				
Property, plant and equipment	1,146,818,858	1,155,167,933	1,146,818,858	1,155,167,933
Intangible assets	-	-	-	-
Investment property	690,000,000	690,000,000	690,000,000	690,000,000
Right-of-use assets	2,678,784	3,125,240	2,678,784	3,125,240
Investment in equity accounted investee	73,932,843	75,132,734	51,200,000	51,200,000
	1,913,430,485	1,923,425,907	1,890,697,642	1,899,493,173
CURRENT ASSETS				
Inventories	2,385,750,241	2,340,191,863	2,385,750,241	2,340,191,863
Trade and other receivables	1,476,634,857	2,057,136,180	1,476,634,857	2,057,136,180
Amount due from related companies	603,388,851	547,202,345	603,388,851	547,202,345
Value added tax recoverable	772,072,161	747,211,164	772,072,161	747,211,164
Deposits and prepayments	23,250,008	23,077,783	23,250,008	23,077,783
Investment in fixed deposits	2,070,336,407	1,336,800,383	2,070,336,407	1,336,800,383
Cash and cash equivalents	1,140,888,612	2,529,130,311	1,140,888,612	2,529,130,311
	8,472,321,137	9,580,750,029	8,472,321,137	9,580,750,029
TOTAL ASSETS	10,385,751,622	11,504,175,936	10,363,018,779	11,480,243,202
EQUITY AND LIABILITIES				
EQUITY				
Stated capital	218,000,000	218,000,000	218,000,000	218,000,000
Capital reserves	592,491,173	592,491,173	522,620,414	522,620,414
General reserves	431,136,000	431,136,000	431,136,000	431,136,000
Retained earnings	7,015,428,494	5,479,026,685	7,062,566,410	5,524,964,710
	8,257,055,667	6,720,653,858	8,234,322,824	6,696,721,124
NON-CURRENT LIABILITIES				
Employee benefits	133,966,519	122,806,774	133,966,519	122,806,774
Deferred taxation	45,834,383	45,834,383	45,834,383	45,834,383
Interest bearing borrowings	161,561,157	239,274,647	161,561,157	239,274,647
	341,362,059	407,915,804	341,362,059	407,915,804
CURRENT LIABILITIES				
Trade and other payables	422,926,783	3,005,971,638	422,926,783	3,005,971,638
Amount due to related companies	228,160,201	511,344,422	228,160,201	511,344,422
Current tax payables	918,370,709	660,744,216	918,370,709	660,744,216
Unclaimed dividends	18,173,303	12,301,374	18,173,303	12,301,374
Interest bearing borrowings	156,423,432	157,983,330	156,423,432	157,983,330
Bank overdrafts	43,279,468	27,261,294	43,279,468	27,261,294
	1,787,333,896	4,375,606,274	1,787,333,896	4,375,606,274
TOTAL LIABILITIES	2,128,695,955	4,783,522,078	2,128,695,955	4,783,522,078
TOTAL EQUITY AND LIABILITIES	10,385,751,622	11,504,175,936	10,363,018,779	11,480,243,202
Net asset per share (Rs.)	378.76	308.29	377.72	307.19

These Financial Statements have been prepared in compliance with the requirements of the Companies Act No. 7 of 2007.

(Sgd.)

Ms. Hemamala Karunasekara
Chief Financial Officer

(Sgd.)

Mahinda Saranapala
Director / Chief Executive Officer

November 14, 2022
Colombo

(Sgd.)

U. G. Madanayake
Chairman

STATEMENT OF CHANGES IN EQUITY

COMPANY AND INVESTEE

	Stated Capital Rs.	Capital Reserves Rs.	General Reserves Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 1 April 2021	218,000,000	592,491,173	431,136,000	3,408,195,883	4,649,823,056
Comprehensive income for the period					
Profit for the period				484,745,050	484,745,050
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	484,745,050	484,745,050
Transactions with owners of the Company					
Interim dividend	-	-	-	(98,100,000)	(98,100,000)
Balance as at 30 September 2021	218,000,000	592,491,173	431,136,000	3,794,840,933	5,036,468,106
Balance as at 1 April 2022	218,000,000	592,491,173	431,136,000	5,479,026,685	6,720,653,858
Comprehensive income for the period					
Profit for the period	-	-	-	1,678,101,809	1,678,101,809
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	1,678,101,809	1,678,101,809
Transactions with owners of the Company					
Interim Dividend	-	-	-	(141,700,000)	(141,700,000)
Balance as at 30 September 2022	218,000,000	592,491,173	431,136,000	7,015,428,494	8,257,055,667

COMPANY

	Stated Capital Rs.	Capital Reserves Rs.	General Reserves Rs.	Retained Earnings Rs.	Total Rs.
Balance as at 1 April 2021	218,000,000	522,620,414	431,136,000	3,455,811,558	4,627,567,972
Comprehensive income for the period					
Profit for the period	-	-	-	485,965,000	485,965,000
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	485,965,000	485,965,000
Transactions with owners of the Company					
Interim dividend	-	-	-	(98,100,000)	(98,100,000)
Balance as at 30 September 2021	218,000,000	522,620,414	431,136,000	3,843,676,558	5,015,432,972
Balance as at 1 April 2022	218,000,000	522,620,414	431,136,000	5,524,964,710	6,696,721,124
Comprehensive income for the period					
Profit for the period	-	-	-	1,679,301,700	1,679,301,700
Other comprehensive income	-	-	-	-	-
Total comprehensive income	-	-	-	1,679,301,700	1,679,301,700
Transactions with owners of the Company					
Interim dividend	-	-	-	(141,700,000)	(141,700,000)
Balance as at 30 September 2022	218,000,000	522,620,414	431,136,000	7,062,566,410	8,234,322,824

KELANI CABLES PLC
INTERIM FINANCIAL STATEMENTS - 30 SEPTEMBER 2022

STATEMENT OF CASH FLOWS

For the period ended 30 September	COMPANY & INVESTEE		COMPANY	
	2022 Rs.	2021 Rs.	2022 Rs.	2021 Rs.
Cash flow from operating activities				
Profit before tax	2,046,729,012	591,413,848	2,047,928,903	592,633,798
Adjustments for:				
Share of loss from equity accounted investee (net of tax)	1,199,891	1,219,950	-	-
Interest income	(182,933,220)	(24,227,298)	(182,933,220)	(24,227,298)
Interest expense	19,071,096	45,006,367	19,071,096	45,006,367
Depreciation of property, plant and equipment	50,942,817	49,816,048	50,942,817	49,816,048
Amortization of Intangible assets	-	1,154,696	-	1,154,696
Amortization of right-of-use assets	446,460	446,462	446,460	446,462
Provision/(reversal) for obsolete and slow moving inventories	16,124,253	35,773,699	16,124,253	35,773,699
Gain on disposal of property, plant and equipment	(12,946,429)	-	(12,946,429)	-
Provision for employee benefits	14,626,940	13,297,218	14,626,940	13,297,218
Operating profit before working capital changes	1,953,260,820	713,900,990	1,953,260,820	713,900,990
Changes in working capital				
Increase in inventories	(61,682,631)	(420,201,085)	(61,682,631)	(420,201,085)
Decrease in trade and other receivables	580,501,323	22,287,193	580,501,323	22,287,193
Decrease/(Increase) in amount due from related companies	(80,500,458)	164,388	(80,500,458)	164,388
Increase in deposits and prepayments and value added tax recoverable	(25,033,222)	(96,144,253)	(25,033,222)	(96,144,253)
Decrease in trade and other payables	(2,583,044,859)	(224,090,082)	(2,583,044,859)	(224,090,082)
(Decrease)/increase in amount due to related parties	(283,184,221)	67,680,176	(283,184,221)	67,680,176
Cash generated from operations	(499,683,248)	63,597,327	(499,683,248)	63,597,327
Gratuity paid	(3,467,195)	(3,520,573)	(3,467,195)	(3,520,573)
Current tax paid	(111,000,710)	(67,448,874)	(111,000,710)	(67,448,874)
Interest paid	(19,071,096)	(45,006,367)	(19,071,096)	(45,006,367)
Net cash generated from / (used in) operating activities	(633,222,249)	(52,378,487)	(633,222,249)	(52,378,487)
Cash flow from investing activities				
Short term loans settled by/(given to) related parties	24,313,952	-	24,313,952	-
Proceeds from disposal of property, plant and equipment	12,946,429	-	12,946,429	-
Acquisition of property, plant and equipment	(42,593,742)	(107,908,936)	(42,593,742)	(107,908,936)
Investment in fixed deposits	(733,536,024)	-	(733,536,024)	-
Interest received	182,933,220	24,227,298	182,933,220	24,227,298
Net cash (used in) / generated from investing activities	(555,936,165)	(83,681,638)	(555,936,165)	(83,681,638)
Cash flow from financing activities				
Dividend paid	(135,828,071)	(99,190,039)	(135,828,071)	(99,190,039)
Lease payments	(394,424)	(297,342)	(394,424)	(297,342)
Loans obtained during the period	-	1,571,740,822	-	1,571,740,822
Loans repayments during the period	(78,878,964)	(804,821,789)	(78,878,964)	(804,821,789)
Net Cash (used in) / generated from financing activities	(215,101,459)	667,431,652	(215,101,459)	667,431,652
Net increase / (decrease) in cash and cash equivalents	(1,404,259,873)	531,371,527	(1,404,259,873)	531,371,527
Cash and cash equivalents at beginning of the period	2,501,869,017	833,922,145	2,501,869,017	833,922,145
Cash and cash equivalents at the end of the period	1,097,609,144	1,365,293,672	1,097,609,144	1,365,293,672

NOTES TO THE FINANCIAL STATEMENTS

- Figures in the Interim Financial Statements are provisional and subject to audit.
- The consolidated interim financial statements have been prepared in accordance with the accounting policies set out in the Annual Report for the year ended 31 March 2022 and are in compliance with Sri Lanka Accounting Standards - LKAS 34 - Interim Financial Reporting.
- The previous period figures have been re-classified to confirm with the current year's presentation.
- Finance income for the period includes exchange gain on foreign currency translation of the period amounting to Rs.353,187,911/-.
- The contingent liability as at 30 September 2022 on guarantees given to third parties amounted to Rs.210,533,429/-.
- The Board of Directors declared an Interim Dividend of Rs.6/50 per share for the year ended 31 March 2022 amounting to Rs. 141.7 Mn. on August 4, 2022 which was paid on 04 September 2022.
- There have been no other material events subsequent to the interim period which require disclosure in the Financial Statements.
- The number of shares held by the Board of Directors are as follows :

		As at 30 September 2022		As at 30 September 2021	
		No. of Shares	% Holding	No. of Shares	% Holding
Mr. U. G. Madanayake	- Chairman	56,200		56,200	0.26%
Mr. Suren Madanayake	- Deputy Chairman	61,000		61,000	0.28%
Mrs. N. C. Madanayake	- Director	-		-	
Dr. Bandula Perera	- Director	-		-	
Mr. Mahinda Saranapala	- Director/CEO	-		-	
Mr. Deepal Sooriyaarachchi	- Director	-		-	

- Shares held by public

	No. of Shares	% Holding	No. of Shareholders
Shares held by public as at 30 September 2022	4,399,696	20.2%	2668

Float adjusted market capitalization (Rs.)

1,911,667,912

Company complies the requirement of Listing Rules of **7.14.1 -Minimum Public Holding as a Continuous Listing Requirement** under the option No. 05 of 7.14.1 (a) as follows.

OPTION	MINIMUM PUBLIC HOLDING REQUIREMENT		
	Float adjusted Market Capitalization	Public Holding Percentage	Number of Public Shareholders
Option -5	Less than Rs.2.5Bn	20%	500

- 20 Largest Shareholders of the Company as at 30 September 2022 were as follows:

	No. of Shares	% Holding
1 Lanka Olex Cables (Private) Ltd	16,349,348	75.00%
2 ACL Cables PLC	933,756	4.28%
3 National Savings Bank	170,000	0.78%
4 Bank of Ceylon-No 2 A/C (BOC PTF)	117,918	0.54%
5 Employees Trust Fund Board	116,285	0.53%
6 Thaha I. M.	103,500	0.47%
7 DFCC Bank PLC A/C No. 02	87,450	0.40%
8 Ceylinco Shiram Capital Management Services	76,600	0.35%
9 Wijaya P. Ramesh P.	76,342	0.35%
10 Saraswathi V. and Vasudevan S.	63,944	0.29%
11 Goonesekera C. D. M. (Mrs.)	62,500	0.29%
12 Madanayake H. A. S.	61,000	0.28%
13 Madanayake U. G.	56,200	0.26%
14 Mayakaduwege J. K.	54,000	0.25%
15 Leonard D. S.	41,203	0.19%
16 Kannangara N. L. & De Livera S.S.	40,000	0.18%
17 Sumathipala U. W. J. P. A.	35,200	0.16%
18 Gunawardhana W. A. R.	33,977	0.16%
19 Samarakkody S. A. B. B. N.	31,248	0.14%
20 Gunaratne (Deceased)	31,248	0.14%

CORPORATE INFORMATION

Name of the Company	- Kelani Cables PLC
Company registration No.	- PQ 117
Legal form	- A Quoted Public Company with Limited Liability Incorporated as Ceylon Non-Ferrous Metal Industries Limited on 27th January 1969. Thereafter on 18th December 1973 the name was changed to Kelani Cables Limited. With the adoption of the Companies Act No. 07 of 2007, re-registered as Kelani Cables PLC in February 2008.
Registered office	- No. 60, Rodney Street, Colombo 08, Sri Lanka Telephone : 94-11-7608300, 94-11-2697652 Fax : 94-11-2667758, 94 11 2699503
Principle place of business	- P.O. Box 14, Wewelduwa, Kelaniya, Sri Lanka Telephone : 94-11-2911224, 94-11-7434400 Fax : 94-11-2910481 Email : info@kelanicables.com Website : www.kelanicables.com
Board of directors	- Mr. U. G. Madanayake Mr. Suren Madanayake Mrs. N. C. Madanayake Dr. Bandula Perera Mr. Mahinda Saranapala Mr. Deepal Sooriyaarachchi
Company secretary	- Corporate Affairs (Private) Limited. No. 68/1, Dawson Street, Colombo 02, Sri Lanka
Auditors	- KPMG (Chartered Accountants) 32A, Sir Mohamed Macan Marker Mawatha P. O. Box 186 Colombo 03 Sri Lanka
Bankers	- Hatton National Bank PLC Hongkong and Shanghai Banking Corporation Limited Standard Chartered Bank Peoples Bank Nations Trust Bank PLC NDB Bank PLC DFCC Bank PLC Commercial Bank of Ceylon PLC Sampath Bank PLC Seylan Bank PLC